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Report Name: Oilseeds and Products Update

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Report Highlights:

Turkey's Marketing Year (MY) 2019/20 sunflowerseed area and production is estimated at 730,000 hectares (Ha) and 1.66 million metric tons (MMT), of which 1.5 MMT is for use as oilseeds. MY 2019/20 soybean planting and production is expected to be about 27,000 hectares and 105,000 MT. Turkey's oilseed sunflowerseed imports increased by 46 percent during the first eleven months of MY 2018/19 due to an increase in local crush, but sunflowerseed meal imports were down about five percent to 870,000 MT during the same period. Turkey continues to export large amounts of sunflowerseed oil despite a significant decline in exports to Iraq.

Turkey Oilseeds Update

Sunflowerseed and Products

Production

The MY 2019/20 total sunflowerseed area and production estimate for Turkey is 730,000 hectares and 1.66 million metric tons (MMT), of which 1.5 MMT is for use as oilseeds and the remainder is confectionary sunflowerseeds and sowing seeds. About half of the local oilseed sunflowerseed production takes place in the Thrace and South Marmara regions where timely rains in late summer contributed to the high field yields.

MY 2019/20 sunflowerseed meal production is projected to be about the same as the last marketing year at 1.25 MMT.

Sunflowerseed oil production in MY 2019/20 is expected to be about 989,000 MT due to strong demand for sunflowerseed oil in Turkey and exports. Turkey continues to have a net deficit in sunflowerseeds and oil to meet the local demand.

Consumption

Total domestic consumption of sunflowerseeds is forecast at 2.4 MMT in MY 2019/20, similar to MY 2018/19 due to stable demand of both oilseed sunflowerseeds and confection sunflowerseeds.

Total domestic consumption of sunflowerseed meal is forecast at 2.17 MMT in MY 2019/20, which is about the same compared to MY 2018/19 due to a forecast of stable demand in livestock feed production. Domestic sunflowerseed meal consumption in MY 2018/19 increased about seven percent from the previous year, reaching about 2.15 MMT, which reflected a slowdown in growth of the feed industry because of ongoing economic difficulties.

Sunflowerseed oil is the most consumed oil in Turkey. The government of Turkey (GOT) regulates the market with periodic adjustments in tariffs and reference prices that help drive steady increases in consumption and prevent illegal mixing of other cheaply priced oils into sunflowerseed oil. As a result, in MY 2018/19, sunflowerseed oil domestic consumption is expected to be about 990,000 MT and 1,02 MMT in MY 2019/20.

Policy

On August 22, 2019, the GOT increased the import tax on sunflowerseeds to 27 percent with [a presidential decree](#). This is an increase from the previous 20 percent tax, with a \$450 per metric ton reference price. However, the tax will decrease again to 13 percent as of January 31, 2020. The [annual oilseeds report](#) has additional information on policy and agricultural support to the oilseeds sector.

Trade

Turkey imports a significant amount of crushing sunflowerseeds and crude sunflowerseed oil to meet the local demand. Turkey has a very large crushing capacity, about 9 MMT for all oilseeds. Local

sunflowerseed production only meets about two-thirds of the domestic sunflowerseed oil consumption needs. Therefore, the import regime favors seeds imports over crude oil imports for local use. The crude sunflowerseed oil imports, however, are for refining and re-exporting purposes. Sunflowerseed meal imports are to meet the local livestock and poultry industries' feed needs.

Total sunflowerseed imports during the first 11 months of MY 2018/2019 (September 2018-July 2019) were 1.01 MMT, of which 933,000 MT were oilseeds and the remaining 78,000 MT were confection seeds. Oilseed sunflowerseed imports were up 46 percent compared to same period in MY 2017/18 due to local demand for crushing.

Moldova was the leading sunflowerseed supplier with 347,000 MT, followed by Romania (213,000 MT), and Russia (191,000 MT). China was the leading supplier of confectionary sunflowerseeds, supplying about 75,000 MT.

Turkey's sunflowerseed meal imports were about 870,000 MT during the first 11 month of MY 2018/2019, down about 5 percent compared to the same period in MY 2017/18 due to an increase in oilseed imports. Turkey continued to meet its sunflowerseed meal needs mostly from Russia (422,000 MT), Ukraine (288,000 MT), and Bulgaria (92,000 MT) during this period.

During the first 11 month of MY 2018/19 (September 2018-July 2019) Turkey's sunflowerseed crude oil imports were about 473,000 MT, up five percent compared to the same period in MY 2017/18, which parallels an increase in refined oil exports.

Russia, Ukraine, and Bosnia and Herzegovina were Turkey's main suppliers of crude sunflowerseed oil with 355,000 MT, 55,000 MT and 35,000 MT, respectively, during this period. Turkey also imported about 30,000 MT of refined oil from Bosnia and Herzegovina.

As noted in earlier reports, the new vegetable oil refining factory with 2,000 MT daily capacity that started operating in Iraq during MY 2017/18 increased local Iraqi production of refined sunflowerseed oil. Iraq had been Turkey's most significant export market for refined sunflowerseed oil. Due to the increase in local production in Iraq, Turkey's total sunflowerseed oil exports were down about 43 percent in MY 2017/18 to 390,000 MT. Exports to Iraq were only 90,000 MT compared to 355,000 MT during the same period the previous marketing year. However, total sunflowerseed oil exports during the first 11 months of MY 2018/2019 (September 2018-July 2019) reached about 390,000 MMT, up 50,000 MT compared to same period in MY 2017/18 due to strong demand from Yemen and other African countries. Syria replaced Iraq as Turkey's top export market for refined sunflowerseed oil with 63,000 MT, followed by Iraq with 57,000 MT, and Djibouti with 49,000 MT. MY 2019/20 sunflowerseed oil export is expected to be 420,000 MT, which is similar to MY 2018/19.

Oilseed, Sunflowerseed Market Begin Year Turkey	2017/2018		2018/2019		2019/2020	
	Sep 2017		Sep 2018		Sep 2019	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	700	700	750	715	730	730
Area Harvested	700	700	715	715	730	730
Beginning Stocks	49	49	91	91	129	129
Production	1550	1550	1800	1510	1750	1660
MY Imports	720	720	600	1025	550	750
Total Supply	2319	2319	2491	2626	2429	2539
MY Exports	56	56	60	51	75	55
Crush	2050	2050	2150	2314	2150	2275
Food Use Dom. Cons.	120	120	150	130	145	140
Feed Waste Dom. Cons.	2	2	2	2	2	2
Total Dom. Cons.	2172	2172	2302	2446	2297	2417
Ending Stocks	91	91	129	129	57	67
Total Distribution	2319	2319	2491	2626	2429	2539
Yield	2.2143	2.2143	2.5175	2.119	2.3973	2.2739

(1000 HA) ,(1000 MT) ,(MT/HA)

Meal, Sunflowerseed Market Begin Year Turkey	2017/2018		2018/2019		2019/2020	
	Sep 2017		Sep 2018		Sep 2019	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	2050	2050	2150	2314	2150	2275
Extr. Rate, 999.9999	0.5502	0.5502	0.5502	0.5502	0.5502	0.5502
Beginning Stocks	150	150	202	202	195	207
Production	1128	1128	1183	1273	1183	1252
MY Imports	931	931	900	900	960	960
Total Supply	2209	2209	2285	2375	2338	2419
MY Exports	7	7	20	20	20	20
Industrial Dom. Cons.	0	0	0	0	0	0
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	2000	2000	2070	2148	2100	2170
Total Dom. Cons.	2000	2000	2070	2148	2100	2170
Ending Stocks	202	202	195	207	218	229
Total Distribution	2209	2209	2285	2363	2338	2407

(1000 MT) ,(PERCENT)

Oil, Sunflowerseed Market Begin Year Turkey	2017/2018		2018/2019		2019/2020	
	Sep 2017		Sep 2018		Sep 2019	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	2050	2050	2150	2314	2150	2275
Extr. Rate, 999.9999	0.4351	0.4351	0.4349	0.4349	0.4349	0.4349
Beginning Stocks	31	31	56	56	36	93
Production	892	892	935	995	935	989
MY Imports	503	503	525	503	525	490
Total Supply	1426	1426	1516	1554	1496	1572
MY Exports	390	390	400	420	400	430
Industrial Dom. Cons.	20	20	20	20	20	20
Food Use Dom. Cons.	950	950	1050	990	1050	1020
Feed Waste Dom. Cons.	10	10	10	10	10	10
Total Dom. Cons.	980	980	1080	1080	1080	1080
Ending Stocks	56	56	36	93	16	92
Total Distribution	1426	1426	1516	1554	1496	1572

(1000 MT) ,(PERCENT)

Soybean and Products

Production

MY 2019/20 soybean planting and production is estimated to be about 27,000 hectares and 105,000 MT, up ten percent compared to a year ago, due to an increased planting area and better yields. In spite of large domestic consumption, domestic production continues to be negligible. The Cukurova region is the main soybean growing area in Turkey, supplying about ninety-five percent of the total production. Farmers prefer to plant soy as a second crop after wheat in the same year. Yields are high in the region as growers are technically proficient and the crop is irrigated. Small trial plantings are also seen in the GAP region, in Eastern Turkey.

The GOT has been trying to encourage an increase in oilseeds production by offering higher production premium payments. Yet, in MY 2018/19, the government only increased the seed cotton production premium, but kept the other oilseeds premiums (including soybeans) the same as the previous year. In the view of high local inflation, currently about 20 percent, and even higher price increases in pesticide and fertilizer inputs, farmers are anticipating increased government support payments. However, at this date MY 2019/20 crop production bonuses have not been announced.

Soybean oil production in MY 2019/20 will reach 290,000 MT due to attractive local crushing margins and continuing oil exports.

Consumption

MY 2018/19 total soybean and meal consumption is 4.5 MMT, up moderately compared to MY 2017/18. The slowdown in soybean and meal usage is due to the sudden drop in egg exports to Iraq, Turkey's top export market, starting in June. Iraq, which stopped importing Turkish eggs in order to support a policy of domestic import substitution, was the leading market for the Turkish egg industry for many years. The Turkish layer hen industry is now in search of new markets to increase exports. The broiler industry, however, continues to grow with increasing domestic demand, driven in part by high local red meat prices.

Total soybean and meal consumption in MY 2019/20 is forecast to increase to 4.7 MMT, up about five percent compared to MY 2018/19. The Turkish poultry industry utilizes large amounts of full-fat soy in rations that are produced at their farms. Favorable crush margins are also expected to contribute to domestic soybean utilization.

Consumption policy – Soybean Oil

Turkey's Biosafety law limits the utilization of soybean oil produced from genetically engineered (GE) soybeans. Accordingly, GE soy oil is only approved to be used in feed and industrial categories, mostly paint and ink production. Therefore, only soybean oil that is produced from locally produced and non-GE imported soybeans are used in food in Turkey. Since the great majority of imported and crushed soybeans are genetically engineered varieties for animal feed, this adversely affects domestic crushing margins and causes consumption of soy oil to be limited to soybeans that are locally produced.

Trade

Total soybean imports during the first 11 months of MY 2018/2019 (September 2018-July 2019) were 2.33 MMT, compared to 2.6 MMT during the same period in MY 2017/18. Import demand for soybeans shifted instead to soy meal due to attractive world prices. The vast majority of imported soybeans, 1.3 MMT, was supplied by Brazil. Ukraine, with 855,000 MT, and Paraguay, with 65,000 MT, are other main suppliers.

Soybean imports from the U.S. were about 430,000 MT in MY 2017/18. However, imports were only about 30,000 MT in MY 2018/19 due to the continuing concerns that trace amounts of biotech soy varieties awaiting approval in Turkey could lead to shipments being rejected. There have been no new approvals of biotech soy varieties in Turkey since August 2, 2017, leading to a situation where some varieties approved in other major markets, such as the EU, are not yet approved in Turkey. This approval lag in Turkey can affect imports from any country, but Turkish importers looked to other sources, such as Brazil for soy and Argentina for meal, despite the higher prices. As long as the market access problems related to delayed biotech approvals continue, market access issues may arise for soybean and meal imports from all sources.

Soybean exports were about 26,000 MT during the same period. The United States was the main destination with 20,000 MT, followed by Syria (2,900 MT) and Northern Cyprus (2,850 MT).

Total soybean meal imports during the first 10 months of MY 2018/2019 (September 2018-July 2019) were 592,000 MT, up from 474,000 MT during the same period in the last marketing year. The shift is due to a change in demand from soybeans to soy meal caused by attractive prices.

Argentina continued to be the leading soybean meal supplier with 855,000 MT, followed by Ukraine with 132,000 MT, and Bolivia with 65,000 MT. Imports from the United States were 29,000 MT during the same period.

Soybean oil exports were about 111,500 MT during the first ten months of MY 2018/2019 (October 2018 – July 2019), up about 75,000 MT compared to same period in MY 2017/18. New demand from Iran (32,600 MT) and other North African countries account for this dramatic increase. Algeria (24,000 MT), Iraq (16,000 MT) and Tunisia (14,000 MT) were the other leading destinations for soybean oils exports. Total exports are forecasted to increase to 130,000 MT in MY 2019/20 due to continuing demand from neighboring countries in the Middle East and North Africa.

Production Supply and Distribution

Soybean PSD (1000 Hectares / 1000 MT)

Oilseed, Soybean Market Begin Year Turkey	2017/2018		2018/2019		2019/2020	
	Sep 2017		Sep 2018		Sep 2019	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	25	24	30	25	30	27
Area Harvested	24	24	25	25	27	27
Beginning Stocks	313	313	460	390	380	357
Production	90	90	95	95	100	105
MY Imports	2777	2777	2600	2600	2800	2700
Total Supply	3180	3180	3155	3085	3280	3162
MY Exports	20	20	25	28	25	20
Crush	1400	1530	1400	1400	1450	1450
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	1300	1240	1350	1300	1400	1350
Total Dom. Cons.	2700	2780	2750	2700	2850	2800
Ending Stocks	460	390	380	357	405	342
Total Distribution	3180	3180	3155	3085	3280	3162
Yield	3.75	3.75	3.8	3.8	3.7037	3.88

Meal, Soybean Market Begin Year Turkey	2017/2018		2018/2019		2019/2020	
	Oct 2017		Oct 2018		Oct 2019	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	1400	1530	1400	1575	1450	1670
Extr. Rate, 999.9999	0.775	0.7647	0.775	0.7683	0.7724	0.7695
Beginning Stocks	255	253	331	345	296	340
Production	1078	1170	1085	1210	1120	1285
MY Imports	557	552	700	650	780	650
Total Supply	1890	1975	2116	2205	2196	2325
MY Exports	31	30	45	65	45	55
Industrial Dom. Cons.	0	0	0	0	0	0
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	1525	1600	1775	1800	1935	1935
Total Dom. Cons.	1525	1600	1775	1800	1935	1935
Ending Stocks	334	345	296	340	216	335
Total Distribution	1897	1975	2116	2205	2196	2325

Oil, Soybean Market Begin Year Turkey	2017/2018		2018/2019		2019/2020	
	Oct 2017		Oct 2018		Oct 2019	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	1400	1530	1400	1575	1450	1670
Extr. Rate, 999.9999	0.1786	0.1765	0.1786	0.1746	0.1786	0.1737
Beginning Stocks	21	14	63	71	63	51
Production	250	270	250	275	259	290
MY Imports	0	0	0	0	0	0
Total Supply	271	284	313	346	322	341
MY Exports	58	58	85	125	90	130
Industrial Dom. Cons.	90	90	95	105	100	110
Food Use Dom. Cons.	0	5	0	5	0	5
Feed Waste Dom. Cons.	60	60	70	60	75	70
Total Dom. Cons.	150	155	165	170	175	180
Ending Stocks	63	71	63	51	57	31
Total Distribution	271	284	313	346	322	341

Attachments:

No Attachments